

the put protected him from losing much in any given month, but it certainly didn't mean that he would win every month. Suppose you have a month with a strong upmarket. He will do well because he will make the difference between the strike price of the call and the price at which he bought the stock. On the other hand, suppose you have a significant down month. Then he will lose because the puts he bought will get exercised at lower prices than where he bought the stock. Since he was doing the same strategy in all the stocks, he shouldn't be getting much diversification in months where most stocks were up or down. So he should have some very good months, but he should also have some very bad months. But those results were not showing up. His returns were not consistent with the market, given the strategy he claimed to employ. So the immediate question I had was: Why not?

When I looked at the record, I noticed that miraculous trades would be put on periodically that would get rid of the potential losing months and make them winners and get rid of the big winning months and make them moderate winners. And those miraculous trades were long or short S&P futures positions that just happened to come in the right month and the right amount to smooth everything out.

After this initial review, I asked my client, "When do you receive your trade confirmation statements?"

"Well," he answered, "they come in bundles every few weeks."

"Who is the accountant?" I asked.

"He is a friend of Madoff," they said. "He runs a one-man shop and has been Madoff's accountant since the 1960s."

I held my nose and asked, "Who is in charge of information technology?"

"Oh, his brother, Peter Madoff," they answered.

I told him that I wanted to go over and check out the operation. They called up to arrange for my visit. Bernie was away in Europe, raising more money as it turned out. His brother Peter said, "There is no way I will let him in the front door." I asked them to ask why, but Peter wouldn't give a reason. To me, the whole thing smelled. I told my institutional client that I wanted to take their daily confirmations and